Circular Ref: SEBI/HO/IMD/DF2/CIR/P/2019/101 Date: September 20, 2019

Risk Management Framework and Liquid Assets Requirement for Liquid and Debt Mutual Fund Schemes

1. To All Mutual Funds, Asset Management Companies (AMCs), and Association of Mutual Funds in India (AMFI).

2. In supersession of earlier circulars on cut-off timings and valuation, this circular institutes a strengthened liquidity framework for mutual funds following credit events.

3. Mandatory Holding of Liquid Assets:
All open-ended liquid schemes shall hold at least 20% of net assets in liquid assets. Liquid assets for this purpose shall include Cash, Government Securities, Treasury Bills and Repo on Government Securities. In case the exposure to liquid assets falls below 20%, the AMC shall ensure rebalancing within 2 business days.

4. Graded Exit Load in Liquid Funds:
Liquid schemes shall levy a graded exit load on investors who exit within 7 days of subscription:
- Day 1: 0.0070%
- Day 2: 0.0065%
- Day 3: 0.0060%
- Day 4: 0.0055%
- Day 5: 0.0050%
- Day 6: 0.0045%
- Day 7: 0.0000% (No exit load after 7 days).

5. Overnight Funds: Overnight funds shall continue to invest solely in debt securities with residual maturity of 1 business day and are prohibited from levying any exit load.

6. Cut-Off Timing for Subscription:
The cut-off timing for subscription applications in Liquid Funds and Overnight Funds is established at 1:30 PM for applicable day's NAV. For all other debt and equity mutual fund schemes, the uniform cut-off timing remains 3:00 PM.

7. Single Issuer Debt Investment Ceiling:
Under SEBI (Mutual Funds) Regulations 1996, a mutual fund scheme shall not invest more than 10% of its NAV in debt and money market securities rated AAA/AA issued by a single issuer. This ceiling may be extended to 12% of NAV with prior approval of the Board of Trustees and the Board of Directors of the Asset Management Company.

8. Trustees Oversight: The Board of Trustees of the mutual fund shall review the compliance of the liquidity buffer and report any deviations in the quarterly compliance report (QCR) submitted to SEBI.